

field, I get links to many of its holdings. I can use any one ticker on Nasdaq.com to get to virtually all its U.S. holdings.

5. Take a look at Value Investors Club (VIC; www.valueinvestorsclub.com). It is a wonderful web site started and managed by Joel Greenblatt of Gotham Capital. Greenblatt has perhaps the best audited record of any unleveraged investor on the planet over the past 20 years—a compounded annualized return of 40 percent. We delve more into Greenblatt and his Dhandho approach later in the book. Value Investors Club has about 250 members—each of whom had to get approved for membership by presenting a good investment idea. These members are required to post at least two ideas a year. The quality of these ideas is decent as they are peer rated. If a member presents shoddy ideas, he or she is likely to lose membership privileges. Every week the best idea (judged by VIC management) gets \$5,000. The primary benefit of membership is the ability to access ideas in real time. However, as a guest, you can access the same content with a 2-month delay. It is very much worth looking through VIC for distressed situations. Start with the highest rated ideas and work downward from there.
6. Last, but certainly not least, please read *The Little Book That Beats the Market* by Joel Greenblatt. After reading the book, visit www.magicformulainvesting.com. Like *Portfolio Reports* or VIC, not all the stocks on the Magic Formula web site are distressed, but a meaningful number are. We delve further into the Magic Formula later.

Between these sources, there are now a plethora of candidate distressed businesses to examine. How can we ever get our arms around all of them? Well, we don't. We begin by eliminating all businesses that are either not simple businesses or fall squarely outside our circle of competence. What's left is a very small handful of simple, well-understood businesses under distress. We are now ready to apply the rest of the Dhandho framework to this select group.